

BOARD MANDATE — KAUST HEALTH CENTRE ACCOUNT RESTRUCTURING

From: Office of the CEO | Date: 7 June 2026 | Classification: Board Confidential
Ref: RD-13 | Linked: SIG-2026-10, Customer_Profitability_FY2025, CT-2024-119

Situation

KAUST Health Centre: SAR 68.7M FY2025 revenue, 12% retrospective rebate (SAR 8.24M in 2025) under CT-2024-119 SS3.2 effective ~100-day collections under SS4.2. Fully-loaded contribution is NEGATIVE (-1.8% margin post rebate and cost-to-serve). Order pause since April pending renegotiation (EV-2026-04).

Mandate granted

- 1. Rebate cap at 6% with volume tiers; 2. Payment terms net 45 enforced with interest after 60 days;
 - 3. Tiered service menu (delivery windows, dedicated account management priced separately);
 - 4. Walk-away authorised if contribution cannot reach +4% — subject to 120-day transition plan.
- Retention constraint acknowledged: flagship reference account for Workforce Health segment.

Value at stake

Reprice case: +SAR 6-9M/yr contribution. Walk-away case: -SAR 65M/yr revenue, +SAR 1.2M contribution, capacity released.

APPROVAL

Abdullah Al-Rashed — Chairman: MANDATE GRANTED per Board resolution 2026-14 Date: 7 June 2026 Signature: _____